

MEMORANDUM FOR THE FILES

November 24, 1943.

Mr. Guy F. Thorold and Mr. R. V. Palin of the British Embassy called on Mr. Pehle on November 24th to discuss the question of the licensing of the financial transactions involved in the World Jewish Congress program to evacuate Jews from Rumania and France. Mr. Dubois and Miss Hodel were also present at the meeting.

Mr. Pehle opened the discussion with a reference to Mr. Thorold's letter of November 13, in which it was asked whether or not this matter had been referred to London for consultation with M.E.W. under the Joint Licensing Advisory Committee procedure. Mr. Pehle asked whether this meant that the matter was one within that Committee's procedure or whether it should be handled in a manner similar to that Committee's procedure. Mr. Thorold indicated that he was not clear on this point and that he was not quite sure what M.E.W. had meant.

Mr. Pehle then outlined the history of the case, explaining that it had been pending since last June when the State Department had received cables from Bern relating to a proposal of the World Jewish Congress to evacuate Jews from Rumania. Under the proposal the necessary funds would be paid to Rumanian officials in local currency by well-to-do Rumanian merchants who would be reimbursed at black market rates either in dollars or Swiss francs either to be blocked or held in trust for them until after the war. The entire operation was to be directed from Switzerland by an agent of the World Jewish Congress who would work through underground channels with prominent members of the Jewish Congress in Rumania. Later information received indicated that the program would also be applicable to the evacuation of Jews from France. Since the program, as presented by the World Jewish Congress representatives in Switzerland, raised problems which were primarily financial in nature and in view of the humanitarian considerations, Treasury, while recognizing the difficulties in such a program, had decided that the financial problems should be solved so that the whole program would not bog down because of its financial aspects. Accordingly, the Treasury worked out the following arrangements which it was willing to permit for the financing of the evacuation program:

1. Local currency and necessary services would be acquired from persons in occupied or enemy areas who would be reimbursed from a blocked account established in the United States or Switzerland by the deposit of funds by private groups in the United States. The allocation of funds in such account would be made in favor of the persons furnishing the currency or services, certified by an agent of the World Jewish Congress. No